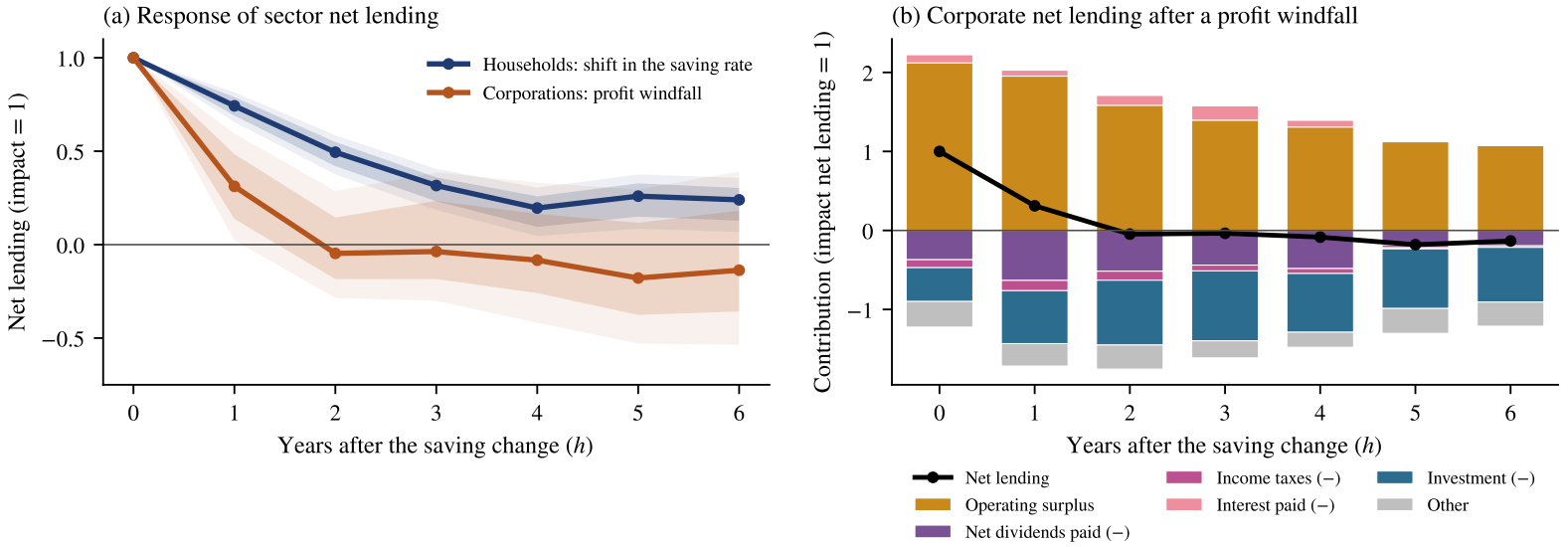
A profit windfall fades; a shift in household saving behavior persists



Notes: Annual data for 38 economies, 1973–2025 (unbalanced). Local projections of each sector's net lending on the profit-windfall or saving-rate component of its saving change, controlling for the remaining component, lags of own net lending, both components, GDP growth and government net lending, and country and year fixed effects. Normalized by the impact response. (a) 68 and 90 percent bands from a country-cluster bootstrap (999 replications). (b) Outlays enter with a negative sign; 'Other' is the remainder.